

Does any trade stand out as your most painful experience?

If you are diversified enough, then no single trade is particularly painful. The critical risk controls are being diversified and cutting your exposure when you don't understand what the markets are doing and why you are wrong.

Has that happened recently?

I was long Google at an average price of about \$550. It kept going lower, and I couldn't understand why. Finally, I just got out at \$505. It went down to about \$480, and then it abruptly reversed, surging above \$600 in a matter of weeks. Psychologically, that is extremely painful, but you have to be willing to take your hit. Even when you are wrong in taking your hit, it cleans the slate, and cleaning the slate can be very therapeutic. If you don't clean your slate, you will end up keeping your losers. Some stocks with losses will come back, and you will sell those, but the ones that don't come back, you will end up keeping. Getting out sometimes right before a stock turns is the price you pay to keep your losses under control.



It is a common dilemma faced by traders. The market is moving against your position. You are well aware of the dangers of an unconstrained loss. But you also still believe in your position and are worried about throwing in the towel just before the market turns. You are frozen in indecision. Vidich offers a perspective that provides a solution. "Don't try to be 100 percent right," he says. Instead of making an all-or-nothing decision, when Vidich is faced with a losing position, he will often begin by liquidating part of the position. Taking a partial loss is much easier than liquidating the entire position. It allows the trader to act rather than procrastinate. If the position continues to move against Vidich, he will liquidate some more. In this way, a losing position is gradually reduced (and eventually entirely liquidated if it doesn't turn around), mitigating the damage. The next time you are undecided between liquidating a losing position and gritting your teeth and riding it out, remember that there is a third alternative: partial liquidation.

A common mistake made by traders is that they let their greed influence position sizing beyond their comfort level. Why put on a 5 percent position